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| CASE # | CASE NAME | HEARING NAME |
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| CVRI2300312 | KLOECKNER METALS CORPORATION vs PARAGON TACTICAL INC. | DEMURRER ON 3RD AMENDED CROSS-COMPLAINT OF ARTHUR FRANSEN AS TO CAUSE(S) OF ACTION 2, 6 AND 7 OF THIRD AMENDED CROSS-COMPLAINT |

**Tentative Ruling:**

A demurrer tests the legal sufficiency of a pleading. The court must accept as true all material facts properly pled, but not contentions, deductions, or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The pleading is read as a whole and its parts in their context to give it a reasonable interpretation. (*Ibid.*) If the complaint, read liberally, states a cause of action on any theory, the demurrer must be overruled. (*Quelimane Co. v. Stewart Title Guaranty Co*. (1998) 19 Cal.4th 26, 38.)

Elements of fraud must be pled specifically. (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Id.*, citing *Hill Transp. Co. v. Southwest Forest Industries, Inc*. (1968) 266 Cal.App.2d 702, 707.) General and conclusory allegations of fraud are insufficient. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

## I. Analysis

### a. 2nd Cause of Action for Elder Financial Abuse

The Elder Abuse and Dependent Adult Civil Protection Act ("the Act") defines financial abuse as occurring when a person or entity "[t]akes, secretes, appropriates, obtains, or retains real or personal property of an elder" for a wrongful use, with intent to defraud, or by undue influence. (Welf. & Inst. Code, § 15610.30, subd. (a).) The statute also applies to anyone who "assists" in such conduct. (*Id.*, § 15610.30, subd. (a)(2).) (*See Das v. Bank of America, N.A.* (2010) 186 Cal.App.4th 727, 744.)

A corporation is a legal entity distinct from its shareholders. (*Grosset v. Wenaas* (2008) 42 Cal.4th 1100, 1108.) The shareholders have no direct cause of action or right of recovery against those who have harmed it. (*Ibid.*) The shareholders may, however, bring a derivative suit to enforce the corporation's rights and redress its injuries when the board of directors fails to do so. (*Ibid.*) A shareholder may only sue for personal, direct injuries that are independent of the injury to the corporation. (*Schuster v. Gardner* (2005) 127 Cal.App.4th 305, 313.)

In *Hilliard v. Harbour* (2017) 12 Cal.App.5th 1006, the court applied this rule to an elder abuse claim. The plaintiff, an elderly shareholder, alleged the defendants looted the assets of some corporations, thereby diminishing the value of his stock. (*Hilliard v. Harbour* (2017) 12 Cal.App.5th 1006, 1015.) The court held that the plaintiff lacked standing to assert a personal claim for financial elder abuse because the looting of corporate assets was an injury to the corporations. (*Id*. at 1016.) The plaintiff's harm – *i.e.,* the devaluation of his shares – arose solely from his status as a shareholder and was therefore derivative. (*Id*. at 1015.)

Here, Jamilee argues that Fransen's claims are derivative of corporate injuries suffered by Paragon. However, the TACC identifies the property taken as Fransen's personal "100% ownership interest in PARAGON, his right to control and operate PARAGON, [and] his possession and control of PARAGON's books and records." (TACC ¶ 104.) The TACC further alleges that Chang stole these personal rights via fraud and that Jamilee "knowingly assisted" Chang in "secreting and retaining" the benefits of this stolen property while exercising financial authority. (TACC ¶ 104.) Because the TACC alleges taking of Fransen's personal stock ownership and contract rights (rather than a mere diminution of corporate asset values), the injury to Fransen is direct and that the allegations are sufficient to survive a demurrer. The demurrer to this cause of action is overruled.

**b. 6th Cause of Action for Fraudulent Conveyance (UVTA)**

The UVTA allows a creditor to void a transfer made by a "debtor" if the transfer was made with the actual intent to hinder, delay, or defraud a creditor. (Civ. Code, § 3439.04, subd. (a)(1); *Optional Capital, Inc. v. Dashes Depository, LLC* (2014) 222 Cal.App.4th 1388, 1401.) A "debtor" is defined as "a person that is liable on a claim." (*Id*., § 3439.01, subd. (e).) A "claim" is a right to payment. (*Id*., § 3439.01, subd. (b).) A "fraudulent conveyance" under the UVTA involves a transfer by the debtor of property to a third person undertaken with the intent to prevent a creditor from reaching that interest to satisfy its claim. (*Filip v. Bucurenciu* (2005) 129 Cal.App.4th 825, 829.) Fraud may be actual or constructive, and transfers are voidable as to present and future creditors. It is not necessary that the transferor act maliciously or with the intent to cause harm to creditors. (*Economy Refining & Serv. Co. v. Royal Nat'l Bank of N.Y.* (1971) 20 Cal.App.3d 434, 441-42.)

Here, Jamilee argues that she is not a "transferee" because she handled the funds in her capacity as a corporate officer. However, the TACC alleges that Chang became "indebted" to Fransen under the stock purchase agreement, Chang took control of Paragon's assets personally, and Chang subsequently transferred those assets to Jamilee's personal accounts or accounts under her direct personal control for her individual benefit (TACC ¶¶ 44, 47, 175). The TACC further alleges that Jamilee received, controlled, and retained these assets for her own personal benefit, such as paying for vehicles and marriage ceremony expenses with the funds (¶¶ 63(3)-(4), 63(11), 177.) Under the UVTA, a creditor may obtain judgment for the value of the asset transferred against "[t]he first transferee of the asset or the person for whose benefit the transfer was made." (Civ. Code, § 3439.08, subd. (b)(1)(A).) Here, the TACC sufficiently pleads Jamilee's status as a transferee per Civil Code §3439.08. At the pleading stage, the court must accept these allegations as true.

The Court overrules the demurrer to the 6th cause of action.

### c. 7th Cause of Action for Improper Recipient (Penal Code § 496)

This is a civil theft claim. Pursuant to Penal Code § 496, any person who has been injured by a person who bought or received any property that has been stolen or obtained in any manner constituting theft or extortion knowing the property to be so stolen or obtained, or conceals, sells, withholds or aids in concealing, selling or withholding property from the owner, knowing the property to be so stolen or obtained, may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit and reasonable attorney's fees. (Penal Code § 496, subd. (c).) Penal Code § 484 defines theft to include the crimes of larceny, embezzlement and theft by false pretense. (*Switzer v. Wood* (2019) 35 Cal.App.5th 116, 126.) The purpose of Penal Code § 496 is to eliminate "markets for stolen property." (*Siry Inv., L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 348 citing *Citizens of Humanity, LLC v. Costco Wholesale Corp.* (2009) 171 Cal.App.4th 1, 18, overruled, in part, on other grounds in *Kwikset Corp. v. Sup. Ct.* (2011) 51 Cal.4th 310, 337.)

To state a claim, a plaintiff must allege: (i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was stolen, and (iii) the defendant received or had possession of the stolen property. (*Switzer v. Wood*, *supra*, 35 Cal.App.5th at 126.) This claim is grounded in fraud and theft, and thus requires pleading with specificity. (See *Lazar v. Superior Court*, *supra*, 12 Cal.4th at 645.) Jamilee argues the TACC's allegation regarding her knowledge is conclusory.

Here, the TACC alleges that Chang obtained Fransen's ownership interest via theft by false pretenses, under Penal Code §§ 484 and 532 (TACC, ¶¶ 86-87, 141-42), with no intention of paying the purchase price required by the stock purchase agreement (*Id.*, 184-86). To establish Jamilee's knowledge, the TACC alleges that Jamilee "actively participated" in Paragon's operations and management (*Id.*, ¶¶ 20, 36, 107, 187), "knew that FRANSEN transferred ownership and control of PARAGON in reliance upon CHANG's promises to pay for the company" (*Id.*, ¶ 188), "knew that CHANG had not paid FRANSEN the promised purchase price when she accepted authority as Vice President," and "began exercising authority over … and assisting in the retention and diversion of assets." (*Id.*, ¶¶ 42, 44, 46, 109, 189-90). These are sufficient. The court overrules the demurrer to the 7th cause of action.

**Ruling**

On the merits, overrule the demurrer. Moving party is to file an answer within 10 days.